



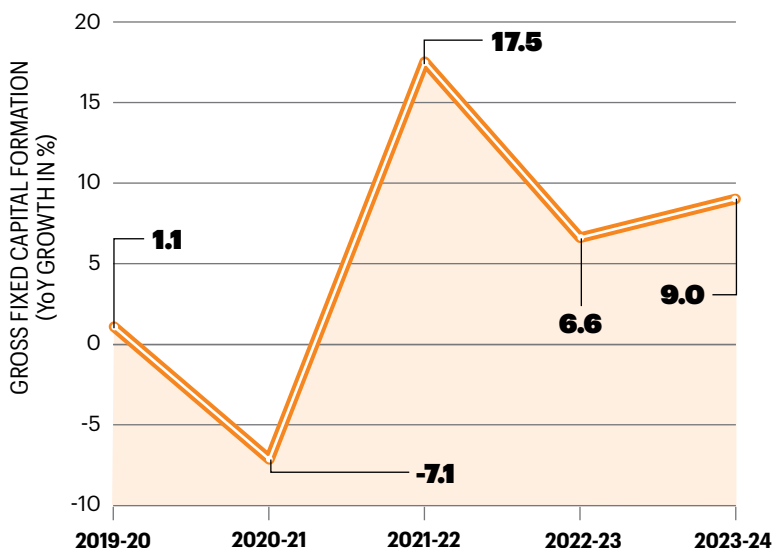
“THE FOCUS OF THE NEW GOVERNMENT WILL CONTINUE TO BE ON GROWTH, EMPLOYMENT AND WELFARE MEASURES. WE EXPECT SUSTAINING GROWTH TO BE THE TOP AGENDA FOR THE GOVERNMENT”

SUMAN CHOWDHURY
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FOCUS ON REVIVING PRIVATE INVESTMENTS

- The manufacturing sector needs to grow for more job creation
- Schemes like PLI may be tweaked further to boost investments



SOURCE MoSPI

in the form of a welfare scheme could also be unveiled.

One of the first decisions by the Cabinet after its formation was to provide financial assistance to 30 million additional rural and urban households for the construction of houses under the Pradhan Mantri Awas Yojana. Chowdhury of Acuité Ratings expects an increase in the allocation to welfare programmes, pointing out that till now, this has been moderate compared to what the Opposition has promised.

“The Budget may increase allocation to schemes such as PM-Kisan as well as on the food subsidy to offset rising prices. This, however, may not have much impact on the fiscal deficit given that the government has a windfall from the RBI dividend,” he notes.

Jain of UBS feels that the higher-than-expected dividend (additional 0.3% of GDP in FY25) would create fiscal

leeway to increase populist spending to support consumption for the lower-income strata (cash transfers, higher rural spending, income tax rationalisation, affordable housing) while continuing its thrust to boost public capex. “Our base case is for the government to stick to a medium-term fiscal consolidation road map but with a populist bias,” she said at a recent webinar.

A tweak in the National Pension System for central government employees is also hoped for and expectations are that the government will announce some relaxation in the current defined benefit scheme. The Modi-led government in its second term had set up a panel under Finance Secretary T.V. Somanathan in March 2023 to review the scheme and its interim report is understood to have been submitted.

Other pressing issues are asset monetisation and strategic disinvestment. The way forward remains unclear and could to some extent be guided by the priorities of the government’s new allies. But an aggressive stance is unlikely. The Interim Budget had kept a conservative target of ₹50,000 crore from disinvestment in FY25 and a few strategic stake sales, including in IDBI Bank and Shipping Corporation of India, are underway. It is expected that these will